

US-China likely to continue managed decoupling

送信者: EG Daily Brief 受信日時: 2026-08-31 21:49

[【メール原文】](#)

Managed decoupling is the basecase for US-China relations through 2031, with restrictions rising but severe escalation unlikely. The US-Canada trade w|||||||||||||

Daily Brief

[Customize Email Preferences](#)

US-China likely to continue managed decoupling

31 Aug 2026 08:42 EDT [Discover more on the Portal](#)

summary

*

Managed decoupling is the basecase for US-China relations through 2031, with restrictions rising but severe escalation unlikely.

*

The US-Canada trade war is likely to continue through the midterms, with tit-for-tat tariffs likely escalating from 8 September.

*

EG analysis shows that unified US congressional control drives higher Treasury yields—a likely 2026 trifecta break would fit that pattern.

*

Risa Grais-Targow, filling in for Ian Bremmer, unpacks why US policy interest in Latin America is here to stay.

*

CIA Director John Ratcliffe's rare, unannounced trip to Moscow was likely to warn Russia and open a backchannel on Ukraine.

*

Countries and sectors in this edition of the Daily Brief include the US, Canada, China, the EU, India, Latin America, Russia, Senegal, Ukraine, Geo-economics, Geo-technology, and trade.

the top line

US, China—Managed decoupling will define US-China relations through 2031

*

Managed decoupling is our basecase through 2031 at 60%: Restrictions will increase, but mutual chokepoint exposure will keep both sides from severe escalation.

*

Mutual de-risking will continue beneath the bilateral truce, but neither side will reduce its dependencies enough to be free of the other's coercive leverage by 2031. The US will remain exposed to China's

control over processed critical minerals and intermediate goods, while China will remain vulnerable to US financial sanctions and some technology export controls.

*

The post-2028 US transition, AI developments, and Taiwan are the variables most likely to disrupt the basecase, with all pointing toward persistent or increased bilateral pressure.

*

A post-Trump administration will probably be less accommodating of President Xi Jinping.

*

Advances in Chinese AI could compel President Donald Trump and the next administration to tighten export controls and impose broader restrictions.

*

Read more here . Reach out to discuss: globalmacro@eurasiagroup.net .

US, Canada—Trade war likely to continue through US midterms

*

EG expects Canadian retaliatory tariffs to take effect as scheduled on 8 September, likely prompting another round of tit-for-tat levies and extending the US-Canada trade war through the US midterm elections (65% probability).

*

Both sides remain open to renewed talks, although Trump and Prime Minister Mark Carney have strong incentives not to back down and each wants to see the other move first to remove retaliatory measures, making a return to pre-22 August tariff levels unlikely for now (35% odds).

*

The overall economic effects of US Section 338 tariffs and Canadian retaliatory measures are limited, but both Washington and Ottawa are targeting sectors and regions that depend heavily on cross-border exports to maximize commercial and political pressure.

*

Read more here . Reach out to discuss: canada@eurasiagroup.net .

US, Geo-economics—Chart of the Day: Congressional control shapes Treasury yields

*

Government structure matters for bonds, as unified control of the White House and both chambers of Congress by one party tends to drive higher Treasury yields.

*

The chart shows the average cumulative change in ten-year Treasury yields over a four-year window around US midterm elections, re-indexed to zero at the election month.

*

When the US government shifted from unified to divided control, yields rose 90 basis points (bps) on average into the midterm, then fell sharply afterward, ending about 90 bps lower two years later.

*

Averaged across all other years, the pattern is the reverse: yields dip into the midterm, then rise over the following two years.

*

Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

eg update—Risa Grais-Targow on the Donroe Doctrine

Risa Grais-Targow, filling in for Ian Bremmer, unpacks why US policy interest in Latin America is here to stay and what to expect in the second half of Trump's term.

*

A defeat in the midterms won't meaningfully constrain the Donroe Doctrine. With Trump trying to move past Iran, the administration is eager to shift back toward Latin America. The US will maintain an assertive role over governance and resources in Venezuela while ramping up the pressure campaign on Cuba. It will also seek continued security cooperation with allies and escalate demands on Mexican President Claudia Sheinbaum.

*

Deeper US engagement in the region is likely to persist beyond Trump, though the policy tools would differ, likely reverting to more traditional mechanisms. Latin America's natural resources have become a US national focus, and there is bipartisan consensus around limiting China's footprint in the region. The US will also continue to remain engaged in Venezuela.

To read more about Risa's views on Latin America, see this week's EG Update .

US, Russia, Ukraine—Ratcliffe's Moscow trip likely a warning and a backchannel

*

Ratcliffe made a rare, unannounced trip to Moscow on 25 August, likely to warn Russia against attacking NATO members Estonia, Latvia, and Lithuania, and to open a backchannel on Ukraine.

*

Washington uses high-level intelligence contacts to set expectations while maintaining a channel in case of further escalation. In 2022, then-director William Burns met Russian foreign intelligence chief Sergei Naryshkin in Ankara to warn Moscow and open a quiet channel on Ukraine.

*

An open channel does not imply negotiations are about to move. US-mediated talks remain largely stalled, and fiscal pressures, declining public support, and a lack of battlefield progress are pushing the Kremlin away from diplomacy. We expect more severe strikes on Ukrainian infrastructure and a troop buildup ahead of a possible push later this year.

*

Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

upcoming conference calls

*

31 August 11:00 AM ET—MENA crisis update. Register here .

*

2 September 8:00 AM ET—Europe macro update. Register here .

*

2 September 10:30 AM ET—Brazil update. Register here .

*

3 September 10:00 AM ET—US-Mexico trade after the Canada standoff. Register here .

eg in depth

US , EU, Geo-technology—White House digital probe will target EU exports, not firms: Trump's Section 301 investigation into EU digital regulations will likely follow his first-term playbook, applying tariff pressure on select European exports rather than individual firms. If the pending overcapacity investigation yields tariffs of around 5%, as expected, forced labor and overcapacity duties alone would reach the 15% ceiling of the US-EU Turnbull truce, leaving no headroom for tech-related levies. The investigation's months-long timeline creates space for dialogue, though the EU may suspend Turnbull and retaliate if White House levies push above 15%. Read more here . Reach out to discuss: geo-technology@eurasiagroup.net .

India , China—Underlying distrust will limit impact of India-China border announcement: On 26 August, India and China announced they had agreed to an eight-point framework to advance negotiations to resolve their long-standing border dispute. Although border talks will ease bilateral tensions, they are unlikely to yield tangible progress in resolving the border issue over the next several months. Border negotiations will have a marginal impact on the easing of mutual trade and investment barriers. The talks are tangential to Xi's attendance at the BRICS summit in New Delhi on 12 to 13 September. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

China—Beijing's exit rules tighten talent mobility: China's new Exit and Entry Administration provisions institutionalize tighter controls on cross-border movement, with local officials likely to enforce them more strictly as they seek to avoid accountability for weak implementation. The rules make talent mobility a new lever in supply-chain security, potentially restricting Chinese technical staff from traveling abroad while increasing entry risks for targeted foreign officials and executives, but they do not create new exit-ban exposure for foreign nationals. The policy change will reinforce Beijing's broader push to constrain offshore wealth and capital flows, increasing compliance pressure on wealthy households and cross-border service providers while raising the cost of moving people and assets offshore. Read more here . Reach out to discuss: china@eurasiagroup.net .

Senegal—Upgrading long-term trajectory to neutral as Faye's parliamentary prospects improve: Since launching his new political party, *Kiiraay*, on 25 July, President Diomaye Faye has strengthened his political machine ahead of local and expected snap legislative elections early next year, raising the likelihood that he secures a parliamentary majority. A parliamentary majority for Faye would restore institutional predictability, facilitate economic stabilization, and open a path to a new IMF program in 2027, likely including a restructuring of external debt. As a result, EG is upgrading Senegal's long-term trajectory from negative to neutral. Read more here . Reach out to discuss: africa@eurasiagroup.net

Upcoming events:

*

31 August: Events: G20 finance ministers and central bank governors meet in Asheville, North Carolina, through 1 September.

*

1 September: Events: Massachusetts holds primary elections. Data: Brazil GDP, Eurozone CPI, unemployment, South Korea trade, US JOLTS job openings.

*

2 September: Events: UK leader Andy Burnham's first Prime Minister's Questions in parliament. Data: US Fed Beige Book, ADP employment change. Central bank decisions: Canada and New Zealand.

*

3 September: Data: US trade.

*

4 September: Data: Brazil trade, and US nonfarm payrolls and unemployment rate.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

"THE BIGGEST OIL DEAL IN WORLD HISTORY!"—Trump said of the reported US deal to take control of Venezuela's oil on 28 August.

EG Daily Brief

DailyBrief@eurasiagroup.net

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-HG-DocID cmth7i2kx2quc07n1fq66ffpu

[Opt Out](#) | [Customize Email Preferences](#)